COMPANY ANALYSIS

[Vietnam] Banks

18 February, 2025

Military Commercial Bank

(HOSE: MBB)

Solidifying the groundwork

Buy
(Update)

TP: VND28,200
Upside +23%

Mirae Asset Securities (Vietnam) JSC
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Investment highlights

2024 PBT exceeds annual target:

- In 2024, MB achieved total operating income (TOI) of VND55,413bn (+17% YoY), net interest income reached VND41,152bn (+6% YoY), profit before tax was VND28,829bn (+9.6% YoY, 101.5% of FY24 target), and profit after tax was VND22,951bn (+9% YoY, 99.6% of FY24 target).

NPLs gradually improve during the year:

- MB's asset quality improved significantly in 4Q24. NPL ratio (group 3–5) in 4Q24 fell compared with the previous quarter to 1.62% (+2 bps YoY; -61 bps vs. 3Q24). The substandard debt ratio (group 2–5) also dropped to 3.19% (-69 bps YoY; -93bps vs. 3Q24). LLR reached 92% at end-2024 (-24%p YoY; +23%p vs. 3Q24). Provisioning in 4Q24 reached VND3,223bn (+103% YoY; +97% vs. 3Q24), bringing the total cost of credit/total loan portfolio to 1.23% in 2024 (+0.23%p vs. 2023).

Fee income slightly recovers, while other revenue sources contribute positively:

- MB recorded fee income of VND4,368bn (+6.9% YoY; 2023: +6.2% YoY). Although the insurance segment profit decreased 26% compared with 2023, there was significant revenue recovery in 3Q24 and 4Q24. Additionally, IB service profit grew again to reach VND280bn (+82% YoY).
- MB recorded profits from financial assets with investment securities (VND2,803bn, +834% YoY) and trading securities (VND1,756bn, +224% YoY). Moreover, other income from resolved debt also improved significantly (VND2,451bn, +43% YoY). Profit from foreign exchange and gold trading also increased strongly by 65% YoY, reaching VND2,000bn.

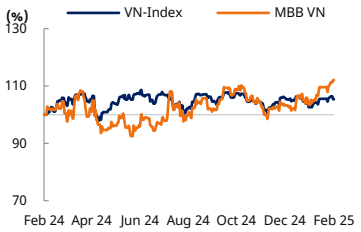
Projection and valuation

We upgrade our recommendation to Buy (from Trading Buy) for MBB stock, with a 12-month target price of VND28,200/share (equivalent to a target P/B of 1.5x) based on two valuation methods, including sustainable P/B and residual income. MBB's investment highlights: 1) Profit growth is expected to be maintained at 10–15% during 2024–2026, thanks to stable credit growth and the group's expanding financial ecosystem; and 2) credit cost is believed to have peaked in 2024.

Key risks

1) The decline in LLR in recent quarters limits the provisioning buffer against market fluctuations on the bank's income statement.
2) NIM may continue to narrow, as corporate lending with short-term duration predominates, while borrowing costs increase and put pressure on the balance between credit and deposits.

Dữ liệu



Share price (2/18/2025, VND)	22,600	Market cap (VNDbn)	138,216
OP (25F, VNDbn)	31,679	Shares outstanding (mn)	6,102
EPS growth (25F, %)	2.3	Free float (%)	55
Market EPS growth (25F, %)	n/a	Foreign ownership (%)	23
P/E (25F, x)	5.9	Beta (12M)	1.21
Market P/E (x)	14.8	52-week low (VND)	18,700
VN-Index	1,275	52-week high (VND)	23,000

Share performance

(%)	1M	6M	12M
Absolute	8.3	13.3	12.1
Relative	5.6	10.0	6.7

Earnings and valuation metrics

FY (Dec. 31)	2021	2022	2023	2024	2025F	2026F
Net interest inc. (VNDbn)	26,200	36,023	38,684	41,152	47,906	56,424
Net non-interest inc. (VNDbn)	10,735	9,570	8,622	14,261	13,330	13,184
Profit before tax (VND bn)	16,527	22,729	26,306	28,829	31,679	35,634
Net profit (VND bn)	12,697	17,483	20,677	22,634	25,342	28,506
EPS (VND)	3,229	3,673	3,764	4,021	4,092	4,185
P/E (x)	7.5	6.6	6.4	6.0	5.9	5.8
BVPS (VND)	15,892	16,727	17,604	20,794	21,743	23,487
P/B (x)	1.5	1.4	1.4	1.2	1.1	1.0

Source : Bloomberg, Mirae Asset Vietnam dự phóng

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FY24 business results update

Table 1. Income statement 4Q24 and FY24

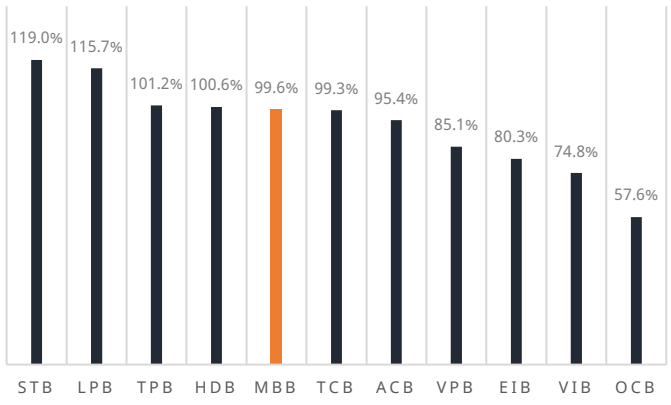
(unit: VNDbn)	4Q24	4Q23	+/-YoY	FY24	FY23	+/- YoY
Net interest income	**11,142**	**9,163**	**22%**	**41,152**	**38,684**	**6.4%**
• Interest revenue	18,452	16,996	9%	69,062	69,143	-0.1%
• Interest expense	-7,310	-7,883	-7%	27,910	30,459	-8.4%
Net fee and commission income	**1,181**	**1,456**	**-19%**	**4,368**	**4,085**	**6.9%**
• Fee revenue	4,149	3,758	10%	14,603	13,138	11.2%
• Fee expense	-2,968	-2,302	29%	-10,234	-9,052	13.1%
Income from Gold & FX	485	289	68%	2,000	1,210	65.3%
Income from trading securities	118	197	-40%	1,756	542	224.0%
Income from investment securities	2,412	-124	N/A	2,803	300	834%
Income from other activities	1,203	761	58%	3,281	2,428	35.1%
Dividend income	22	7	214%	53	57	-7.0%
Total operating income	**16,564**	**11,750**	**41%**	**55,413**	**47,306**	**17.1%**
Operating expenses	**-5,247**	**-3,876**	**35%**	**17,007**	**14,913**	**14.0%**
Pre-provision operating income	**11,317**	**7,874**	**44%**	**38,406**	**32,393**	**18.6%**
Provisioning expenses	**-3,224**	**-1,587**	**103%**	**9,577**	**6,087**	**57.3%**
Profit before tax	8,093	6,287	29%	28,829	26,306	9.6%
Income tax	-1,711	-1,242	38%	5,878	5,252	11.9%
Net profit after tax	6,284	4,986	26%	22,951	21,054	9.0%

Source: MBB, Mirae Asset Vietnam Research

- **MB recorded positive 4Q24 business results,** with total operating income reaching VND16,564bn (+30.4% vs. 3Q). Growth drivers came from net interest income (+22% YoY), income from gold and forex trading (+68% YoY), and exponential growth in investment securities income. Conversely, fee income in 4Q fell by 19%, due to increased commission and brokerage costs. Operating expenses in the quarter also increased significantly, up 35% YoY to VND5,247bn, but pre-provisioning operating income still increased by 44% to VND11,317bn, thanks to positive non-interest income sources. Provisioning expenses doubled to VND3,224bn (+96.6% YoY), reflecting ongoing challenging conditions. Profit before tax reached VND8,093bn (+29% YoY), equivalent to profit after tax increasing by 26% to VND6,382bn.

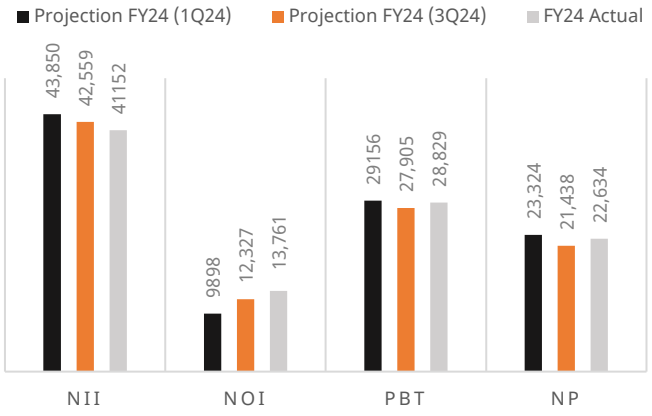
- **For FY24**, MBB recorded total operating income of VND55,413bn (+17.1% YoY) and profit before tax of VND28,829bn (+9.6%). Although profit growth was not fully commensurate with the balance sheet, the bank has made efforts to diversify revenue sources to maintain positive profit growth in a challenging environment in 2024.

Figure 1. Banks' net profit after tax vs. 2024 business plans



Source: MBB, Mirae Asset Vietnam Research

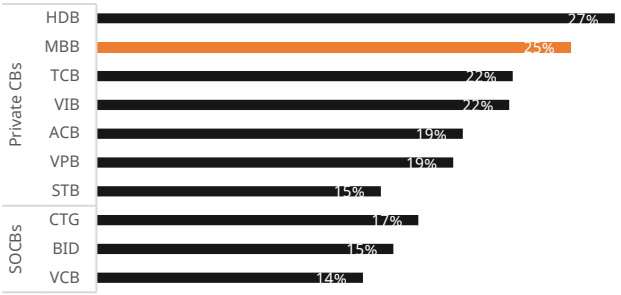
Figure 2. Comparison of previous forecasts with actual business results



Source: MBB, Mirae Asset Vietnam Research

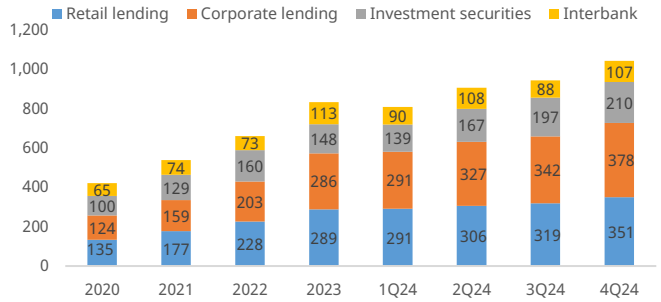
Credit Growth & NPLs

Figure 3. Banking sector credit growth (2024)



Source: FiinPro, Mirae Asset Vietnam Research

Figure 4. MB maintains stable growth in 2024 (VNDtr)



Source: MBB, Mirae Asset Vietnam Research

In 2024, MB's **credit growth** reached 24.8%, ranking second among our coverage banks, only behind HDB. The loan portfolio reached VND765,048bn (+27.6% YoY), while investment securities increased strongly by 41.7% YoY to VND209,63bn.

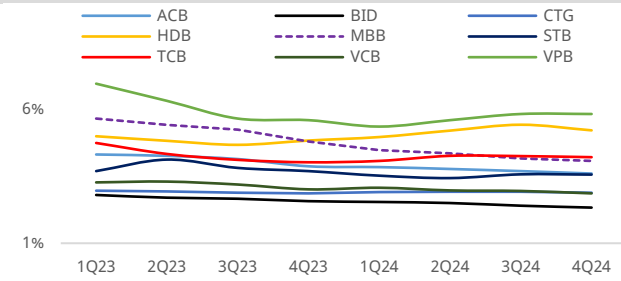
MB's **credit structure** in 2024 reflects the shift in economic cycles and aligns with the Vietnamese government's increased funding for core economic activities.

- **Retail lending** accounts for 42.7% of total loans (-250bps vs. 2023). Although retail lending volume still grew by 20.2% YoY in 2024, this segment's proportion of the total portfolio has continuously decreased since 1Q22, due to retail market difficulties.
- **Corporate lending:**
  - Sectors with increased proportion vs. 2023: Wholesale - retail vehicles: 28.7% (+160bps); Transport and warehousing: 3.3% (+70bps); Real estate: 8.26% (+117bps)
  - Sectors with decreased proportion: Construction: 4.11% (-60bps); Securities margin lending: 1.3% (-20bps)
- **For 2025,** MB plans to allocate at least 50% of the credit growth limit to retail and SME segments, particularly focusing on manufacturing.

NIM movements: Investment securities yield decreased from 7% in 2023 to 4.9% in 2024, partly due to SBV's policy rate cuts since 2023. This has pushed current yields to the lowest level in many years. Loan portfolios yield also decreased significantly from 10.3% (2023) to 8.2% (2024), with continuous quarterly declines (1Q24: 10.2%; 2Q24: 9.3%; 3Q24: 9%; 4Q24: 8.2%), showing MB's proactive interest rate reduction to promote loan growth. Consequently, MB's NIM narrowed from 3.77% (1Q23) to 3.53% (4Q24), maintaining the industry average.

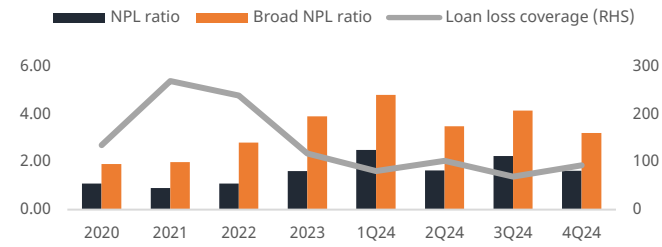
Cost of funds decreased from 4.3% (2023) to 3.2% (2024) but has yet to catch up with yield reduction. CASA dropped slightly to 39.3% (-0.9%p YoY), partly reflecting slower domestic consumption growth, although MBB maintained its industry-leading position.

Figure 5. NIM trends from 1Q23 to 4Q24 (%)



Source: FiinPro, Mirae Asset Vietnam Research

Figure 6. MB's asset quality improves in 4Q24 (%)

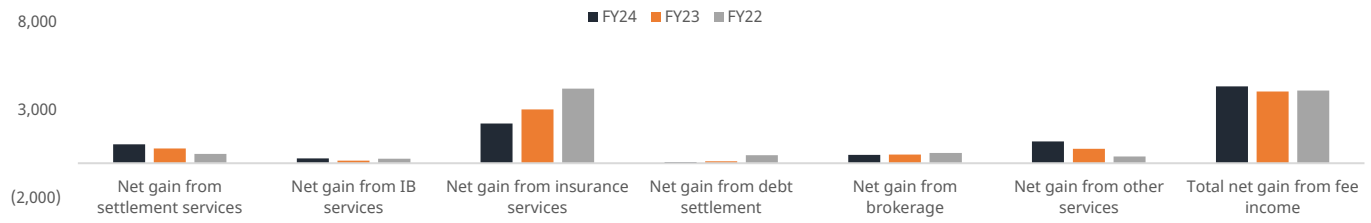


Source: MBB, Mirae Asset Vietnam Research

MB's asset quality improved significantly in 4Q24. NPL ratio (group 3–5) in 4Q24 decreased compared with the previous quarter to 1.62% (+2bps YoY; -61bps vs. 3Q24). Substandard debt ratio (group 2–5) also decreased to 3.19% (-69bps YoY; -93bps vs. 3Q24). LLR reached 92% at end-2024 (-24%p YoY; +23%p vs. 3Q24). Provisioning in 4Q24 reached VND3,223bn (+103% YoY; +97% vs. 3Q24), bringing total cost of credit/total loan portfolio to 1.23% in 2024 (+0.23%p vs. 2023). Overall, although NPL ratio group 3–5 increased significantly to 2.5% in 1Q24, affected by large customer groups, MB has made efforts to improve indicators in the latter stages of 2024, as we have noted in our business updates. However, with NPL coverage ratio falling below the 100% target, MBB's credit cost may still face significant pressure in 2025, especially as the bank expands real estate lending.

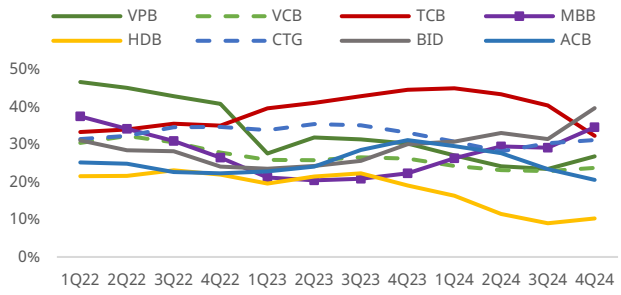
Non-interest Income & operating efficiency

Figure 7. Fee income sees slight improvement, driven by settlement services and other services (VNDbn)



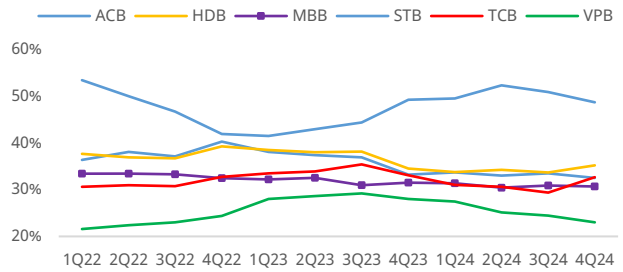
Source: MBB, Mirae Asset Vietnam Research

Figure 8. MBB's non-interest income/net interest income ratio increased markedly in 2024



Source: MBB, Mirae Asset Vietnam Research

Figure 9. MBB maintains low CIR



Source: MBB, Mirae Asset Vietnam Research

Sustainable fee income

In 2024, Military Commercial Joint Stock Bank (MB) achieved notable results in strengthening fee income, contributing to revenue sustainability. The proportion of net interest income (NII) to total operating income (TOI) decreased to 74%, down 8% YoY from the previous year (2023: 82%; 2022: 79%). Total net fee income reached VND4,368bn, up 6.9% vs. 2023 (2023: +6.2% YoY). However, this segment's profit margin has declined, as revenue increased only 11%, while costs increased 13%, mainly due to narrowing insurance business margin. In detail, see below:

- **Payment and treasury services** reached VND1,074bn (-14.1% YoY).
- **The insurance segment** (MB Ageas Life and MIC) contributed VND2,269bn in profit (-26% YoY). Although revenue reached VND8,443bn (+2.6% YoY), costs also increased to VND6,174bn (+19.5% YoY). According to the Ministry of Finance, total insurance premium revenue in the first 11M24 was an estimated VND204,109bn (+6.63% YoY), with non-life insurance at VND71,905bn (+13.02% YoY) and life insurance at VND132,204bn (-5.5% YoY). While MB is facing a general slowdown in the life insurance industry, we are optimistic about the segment's recovery prospects. According to the Ministry of Finance, Vietnam's insurance penetration rate is currently at 2.3–2.8% GDP, much lower than the average figures for ASEAN (3.35%), Asia (5.37%) and the world (6.3%). In addition, the life insurance industry's revenue decline continued to narrow significantly in 2H24.
- **Securities brokerage segment (MBS**) showed mixed results, contributing VND482bn in profit (-1.8% YoY). MBS's 2024 performance drivers came from FVPL asset income reaching VND983bn (+598% vs. 2023) and margin lending interest reaching VND1,056bn (+59% YoY). However, operating costs increased significantly to VND1,410bn (+147% YoY), somewhat narrowing profit. Besides brokerage, MBS recorded strong growth in investment banking (IB), reaching VND280bn (+82% YoY). In 2024, total corporate bond issuance value reached VND443,700bn, up 26.8% compared with 2023. This growth trend is expected to continue in 2025, with active participation from credit institutions and real estate companies.

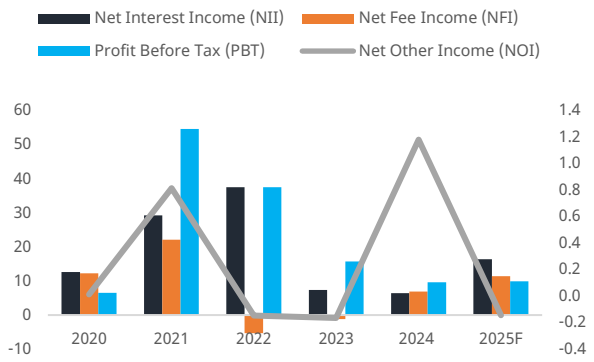
Breakthrough from financial assets and bad debt recovery

- MBB recorded an exponential increase in securities profit, reaching VND4,559 bn (+442% YoY), mainly from investment securities gains (VND2,803bn, +834% YoY). In addition, other income from resolved debts also improved significantly (VND2,451bn, +43% YoY). Profits from gold & forex trading also increased strongly by 65% YoY, reaching VND2,000bn.

FY25 forecast & assumptions

Metrics	2023	2024	2025F	Notes
Balance sheet growth				
Total Assets (% YoY)	29.7	19.5	21.8	MB's loan growth grew strongly (+27.1% YoY after provisioning) in 2024, but was still driven by short-term lending (+31.2%), reflecting high working capital demand. MB targets total asset growth of VND1.3tn (+22% YoY) in 2025, with both credit and deposits exceeding VND1tn (+26% YoY and +25% YoY, respectively). This is an ambitious growth target, especially in the context of slowing credit demand alongside the task of supporting MBV (a bank that was recently mandatorily transferred). Conversely, the bank also receives many policy incentives from the SBV.
Customer Loans (% YoY)	33.7	27.6	25.8	
Credit Growth (% YoY)	27.9	24.7	24.8	
Deposit Growth (% YoY)	27.9	25.8	24.4	
CASA (%)	40.2	39.3	39.0	
NIM Margin				
IEA Yield (%)	8.7	6.9	7.0	NIM shows strong differentiation among bank groups. Credit supply dominance (with high growth targets) may make it difficult for many private banks, including MBB, to improve NIM in the short term. However, average loan portfolio yields could recover, thanks to the improvement in real estate activities (both commercial real estate and home purchases) in 2025.
COF (%)	4.3	3.5	3.4	
NIM (%)	4.9	4.1	4.0	
Asset Quality				
NPL (%)	1.60	1.62	1.40	In terms of NPL pressure, MB management says the loans from major MB clients Trung Nam and Novaland have been paid according to an updated (to end-2024) schedule. The bank stated that Aqua City and Novaworld Phan Thiet — Novaland's two key projects — are likely to have legal issues resolved in 1H25. If on schedule, cash flow from these projects will help Novaland maintain liquidity and limit credit risk for MB. The bank's provisioning is somewhat still under pressure in FY25, as LLR has been brought down from the target of 100%.
Expanded NPL (%)	3.88	3.19	3.00	
LLR (%)	117.0	92.2	95.9	
Provision Expense/Loan Portfolio (%)	1.00	1.23	1.10	
Profit Growth				
Net Interest Income Growth (% YoY)	7.4	6.4	16.4	MBB is working to gradually reduce dependence on lending income, instead promoting fee income and non-interest segments, a prudent strategy amid growing pressure on credit growth from intense industry competition and stricter risk control regulations. In 2025, we forecast a recovery in insurance segment profit, with income from investment securities and securities of VND2,369bn (-48% YoY), down significantly compared with the high levels recorded in 2024.
Fee Income Growth (% YoY)	-1.2	6.9	11.4	
Non-Interest Income Growth (% YoY)	-0.2	1.2	-0.1	
Pre-Provision Profit Growth (% YoY)	5.3	18.6	10.5	
Net Profit Growth (% YoY)	18.3	9.5	12.0	
Operating Efficiency				
ROA (%)	2.5	2.2	2.02	In 2024, MB maintained operational efficiency, with ROE at 21.2% and ROA at 2.2%. The bank continues to control costs well, keeping CIR at a low level of 30.7% for FY24. Although average employee salary increased 9.4% compared with the previous year (higher than the 8% and 8.2% increases in 2023 and 2022, respectively), average income per employee increased 23% YoY, operational efficiency is still growing faster than costs. MBB continues to focus on integrating new financial services on the MBBank application (for example: ETF distribution through the DigiTrading platform integrated in 2024), helping to promote digital transformation.
ROE (%)	23.5	21.2	20.1	
CIR (%)	31.5	30.7	30.7	
Operating Expense Growth (% YoY)	0.7	14.0	10.5	

Figure 10. Business segment income growth & 2025 forecast (%)



Source: MBB, Mirae Asset Vietnam Research

Figure 11. P/B valuation over past 5 years

Source: MBB, Mirae Asset Vietnam Research

Military Commercial Bank (MBB VN)

Comprehensive Income Statement (Summarized)

(VNDbn)	2023	2024	2025F	2026F
Interest income	69,143	69,062	84,517	98,264
Interest expenses	30,459	27,910	36,611	41,841
Net Interest income	38,684	41,152	47,906	56,424
Net fees and commissions	4,085	4,368	4,867	5,485
Net other non-interest income	4,537	9,893	8,463	7,700
Total net operating income	47,306	55,413	61,235	69,608
G&A expenses	14,913	17,007	18,790	21,139
PPOP	32,393	38,406	42,446	48,469
Total provision expenses	6,087	9,577	10,767	12,835
Operating profit	26,306	28,829	31,679	35,634
Net non-operating income	5,252	5,878	6,336	7,128
Net profit	21,054	22,951	25,342	28,506
Net profit (ex. minority interest)	20,677	22,634	25,342	28,506

Statement of Financial Condition (Summarized)

(VNDbn)	2023	2024	2025F	2026F
Cash & dues	3,675	3,349	3,517	3,692
Securities	192,174	217,569	220,315	242,140
Net loans and receivables	645,923	841,835	1,048,557	1,249,429
Tangible assets	3,194	3,751	4,833	5,225
Other assets	99,987	62,298	97,316	121,129
Total assets	944,954	1,128,801	1,374,539	1,621,616
Deposits	567,533	714,154	888,208	1,080,424
Borrowings	102,619	121,119	132,597	148,039
Debentures	126,463	128,964	167,046	175,918
Other liabilities	51,628	47,504	52,043	57,248
Total liabilities	848,242	1,011,741	1,239,894	1,461,629
Capital stock	54,938	56,296	61,925	68,118
Capital surplus	869	1,304	1,304	1,304
Treasury share	0	0	0	0
Reserves	11,371	13,830	13,693	13,693
Retained earnings	25,560	40,718	57,722	76,872
Non-controlling interests	3,973	4,911	0	0
Total shareholders' equity	96,711	117,060	134,645	159,987

DuPont Analysis (%)	2023	2024	2025F	2026F
Interest income	8.26	6.66	6.75	6.56
Interest expense	3.64	2.69	2.92	2.79
Net interest income	4.62	3.97	3.83	3.77
Net commissions income	0.49	0.42	0.39	0.37
Net other non-interest income	0.54	0.95	0.68	0.51
Total net operating profit	5.65	5.34	4.89	4.65
G&A expenses	1.78	1.64	1.50	1.41
PPOP	3.87	3.70	3.39	3.24
Total provision expenses	0.73	0.92	0.86	0.86
Income before income taxes	3.14	2.78	2.53	2.38
Income tax expense	0.63	0.57	0.51	0.48
Net profit(non-controlling)	0.05	0.03	0.00	0.00
ROA	2.47	2.18	2.02	1.90
Leverage (x)	9.5	9.7	9.9	10.2
ROE	23.5	21.2	20.1	19.4
Asset quality (%)				
NPL ratio	1.60	1.62	1.40	1.30
Broad NPL ratio	3.88	3.19	3.00	3.40
NPL coverage ratio	117.0	92.2	95.9	95.77
Reserves to Total credits	1.56	1.29	1.19	1.12
Credit cost (% of total loans)	1.00	1.23	1.10	1.10
Credit cost (% of total credit)	0.67	0.88	0.82	0.83
Per share items (VND)				
EPS (reported)	3,764	4,021	4,092	4,185
EPS (normalized)	17,604	20,794	21,743	23,487
BVPS	5,896	6,822	6,854	7,115
PPOP/ share	0	0	0	0

Key Ratios (%)	2023	2024	2025F	2026F
Growth (YoY)				
Loan growth (Bank)	33.7	27.6	25.8	19.8
Net loans & receivables growth	36.7	22.4	24.9	19.2
Deposit growth	27.9	25.8	24.4	21.6
Shareholders' equity growth	21.5	21.0	15.0	18.8
Total assets growth	29.7	19.5	21.8	18.0
Net interest income growth	7.4	6.4	16.4	17.8
Net fee income growth	-1.2	6.9	11.4	12.7
PPOP growth	5.3	18.6	10.5	14.2
Operating profit growth	15.7	9.6	9.9	12.5
Net profit growth	18.3	9.5	12.0	12.5
Profitability				
Net Interest Spread (Bank)	4.4	3.4	3.6	3.7
Net Interest Margin (Bank)	4.9	4.1	4.0	4.0
PPOP margin	46.8	55.6	50.2	49.3
ROA	2.5	2.2	2.0	1.9
ROE	23.5	21.2	20.1	19.4
Liquidity				
LDR (excl. CDs) (Bank)	105.6	107.1	108.4	106.7
Loans to assets	63.5	67.8	70.0	71.1
Capital adequacy				
CAR	10.7	11.7		
Tier 1	10	10.8		
Tier 2	0.7	0.9		
Operating efficiency				
Cost to income	31.5	30.7	30.7	30.4
Cost to assets	1.6	1.5	1.4	1.3

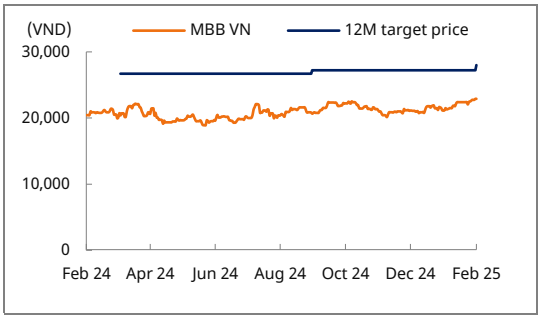
Source: MBB, Mirae Asset Vietnam Research estimates

APPENDIX 1

Important Disclosures & Disclaimers

2-Year Rating and Target Price History

Company (Code)	Date	Rating	Target price
MBB Corporation	11/18/2024	Buy	28,200
MBB Corporation	9/10/2024	Trading Buy	27,200
MBB Corporation	3/14/2024	Trading Buy	26,700
MBB Corporation	12/12/2023	Trading Buy	22,500



Stock Ratings	
Buy	: Relative performance of 20% or greater
Trading Buy	: Relative performance of 10% or greater, but with volatility
Hold	: Relative performance of -10% and 10%
Sell	: Relative performance of -10%

Industry Ratings	
Overweight	: Fundamentals are favorable or improving
Neutral	: Fundamentals are steady without any material changes
Underweight	: Fundamentals are unfavorable or worsening

Ratings and Target Price History (Share price (—), Target price (▬), Not covered (■), Buy (▲), Trading Buy (■), Hold (●), Sell (◆))
* Our investment rating is a guide to the relative return of the stock versus the market over the next 12 months.
* Although it is not part of the official ratings at Mirae Asset Co., Ltd., we may call a trading opportunity in case there is a technical or short-term material development.
* The target price was determined by the research analyst through valuation methods discussed in this report, in part based on the analyst's estimate of future earnings.
* The achievement of the target price may be affected by risks related to the subject securities and companies, as well as general market and economic conditions.

Equity Ratings Distribution & Investment Banking Services

	Buy	Trading Buy	Hold	Sell
Equity Ratings Distribution	74.13%	15.92%	9.95%	0.00%
Investment Banking Services	75.00%	11.11%	13.89%	0.00%

* Based on recommendations in the last 12-months (as of March 31, 2016)

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